

CHAPTER SIX

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The leading function

DEFINITION

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- ✎ Leadership is the process of influencing others toward the achievement of organizational objectives.
- ✎ Leadership is the ability to secure desirable actions from a group of followers voluntarily without the use of coercion or force.

DEFINITION

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Leadership has three ingredients:

- **Leader**
- **Follower (led)**
- **Environment**

The Need for Leadership

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- ✍ Directing integrates employees' effort by coordinating actions of the members
- ✍ Directing attempts to get the maximum output of individuals by providing ways to fully utilize the potentials and capabilities of employees.
- ✍ Directing facilitates changes by incorporating (adopting) environmental and internal changes into the organization

Leadership Theories

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Trait theory:

✍ Traits are distinctive internal or personal qualities or characteristics of an individual.

✍ It can be

- like height, weight, appearance, health, etc
- **Personal:** like self-confidence, dominance, adaptable, extroversion/sociability, originality etc
- **Mental:** like intelligence, creativity, knowledge, technical competence etc.

Leadership Theories

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✂ *“leaders are born not made”*

✂ Leaders as a group have been found to be somewhat taller, brighter, more extroverted, persistent and more self-confident than non-leaders.

✂ Generally, the efforts to identify universal leadership traits ran into difficulties for the following reasons:

Leadership Theories

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- Not all leaders possess all the traits and many non-leaders may possess most of the traits.
- It gives no guidance as to the magnitude of each trait for a person to be a leader.
- No agreement has been reached as to what their relationships are to the actual instances of leadership.

Leadership Theories

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Behavioral theory of leadership:

✎ Rather than try to figure out **what** effective leaders **were**, researchers tried to determine what effective leaders **did**.

✎ **How** they delegated tasks, how they communicated with and tried to motivate their subordinates, how they carried out their tasks

Leadership Theories

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✎ This tries to answer the questions:

What do effective leaders do? What ineffective leaders don't do? How do subordinate react emotionally and behaviorally (performance) to what the leader does?

Through interviewing leaders and followers, researchers at the University of Michigan identified two distinct styles of leadership, referred to as **job-centered** and **employee - centered**.

Leadership Theories

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✎ The *job-centered* leader practices close supervision on the subordinates' performance.

✎ This leader relies on coercion, reward, and legitimate power to influence the behavior and performance of followers.

The *employee-centered* leader believes in delegating authority and supporting followers in satisfying their needs by creating a supportive work environment. The employee centered leader is concerned with followers', their personal advancement, growth and achievement.

Leadership Theories

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The Contingency /Situational Leadership Theory:

- ✍ Situational theory proposes that the effectiveness of a particular style of leader behavior depends on the situation.
- ✍ As situations change, different styles become appropriate.
- ✍ The contingency/situational theory holds that appropriate leader traits or behaviors are contingent or dependent on relevant situational characteristics.

Leadership Theories

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Leadership is the result of the interaction of:

- **Leaders:** Behavior and competence
- **Followers:** Behavior and competence
- **Situations:** Situational variables such as job characteristics, organizational policies, leaders member relations, position power.

Leadership Theories

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Theory X and Theory Y Assumptions:

Theory X: pessimistic and negative

✗ A manager basing an operating philosophy on Theory X would

- Impose a directive leadership style on the individual or work group s/he is supervising.
- Coercion, negative motivation, and refusal to allow employee participate in decision-making would probably be the actions of the manager.

Leadership Theories

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Theory Y- adopts a developmental approach/ modern + positive set of assumptions

✂ A manager with Theory Y assumption will prepare him/herself to work with people as individuals, to involve people in the process of decision-making, to openly encourage people to seek responsibility and to work with people achieve their goals.

Leadership Theories

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✎ Instead of blaming poor performance on basic human nature, Theory Y places squarely on management the responsibility for tapping the reservoir of creativity, hard work, and imagination.

LEADERSHIP STYLES

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- ✎ Leadership style behavior patterns of leaders
- ✎ It is on the relationship between leaders' action and the reaction of subordinates emotionally and behaviorally.

A manager's leadership style is composed of three parts:

LEADERSHIP STYLES

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I. How the manager chooses to motivate subordinates: Motivation approach can be positive (like Responsibility, Recognition, Praise, Security, Monetary Rewards) or negative (like Threats, Coercion, Fines, Suspensions, Termination)

II. His/her decision-making style: the degree of decision-making authority the manager grants to subordinates.

III. His/her areas of emphasis (orientation) in the work environment: Task orientation, employee orientation

LEADERSHIP STYLES

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Three types of leadership styles:

Authoritarian (Autocratic) Leadership Style:

✍ The manager who follows this style is dogmatic and leads by the ability to withhold or give rewards and punishment, i.e. motivation is through incentives and fear.

✍ There is no opportunity for input into the decision-making process by the subordinates and communication is primarily downward.

LEADERSHIP STYLES

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The Autocratic manager uses Theory X assumption as his philosophical base for leadership.

Democratic/Participative Leadership Style:

In this leadership style, the manager involves subordinates in making organizational decisions, shares problems with them and shares authority to reach a decision.

LEADERSHIP STYLES

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The leader delegates a great deal of authority while retaining ultimate responsibility. Active two-way communication (upward and downward) exists. The democrat leader uses Theory Y assumption as his/her philosophical base for leadership.

LEADERSHIP STYLES

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Laissez-Faire/Free-Rein Leadership Style:

- ✍ In this leadership style, leaders generally give the group complete freedom, provide the necessary materials, participate only to answer questions, and avoid decision-making whenever possible.
- ✍ The application of Laissez-Faire style can be found with individuals or groups that the manager views as being knowledgeable, independent, or motivated.

LEADERSHIP STYLES

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Situational Leadership style:

✂ The situational leadership style states that for a manager to be democrat, autocratic or laissez-faire, situations force him/her.

Motivation

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The term motivation derived from the Latin word *movere* meaning “to move.”

Motivation is an internal force that energizes behavior, gives direction to behavior, and underlies the tendency to persist.

Because motivation is an internal force, we cannot measure the motivation of others directly.

Motivation

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Motivated individuals work hard, persist and are goal oriented.

The Motivation Cycle

Motivation

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Motivation Vs Satisfaction

✎ Motivation implies a drive toward an outcome, and satisfaction is the outcome already experienced.

Theories of Motivation

A. Carrot and Stick Approach

✎ This metaphor relates the use of rewards and penalties in order to induce desired human behavior.

Motivation

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Carrot - money in the form of pay or bonuses.

Stick – fear such as fear of loss of job, loss of income, reduction of bonuses demotion or some other penalty.

Failures of carrot and stick approach

✗ Stick in the form of fear is not the best kind of motivating factor. It often gives rise to defensive or refractory behavior, such as union organization, poor quality work, executive indifference

Motivation

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✂ Carrot can be obtained by any member of the organization without differentiation in performance – through such practices as salary increases and promotion by seniority, automatic “merit” increases, and executive bonuses not based on individual manager performance.

✂ If a person put a donkey in a pen full of carrots and then stood outside with a carrot, would the donkey be encouraged to come out of the pen?

Motivation

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B.Maslow's Need Hierarchy

✎ Maslow proposed that motivation is a function of needs, and he also proposed that human needs are arranged hierarchically (in a form of hierarchy).

Motivation

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The hierarchy of needs is based on four premises:

I. Only an unsatisfied need can influence behavior; a satisfied need is not a motivator. What motivates a person is what s/he does not have but not what s/he has.

II. A person's needs are arranged in a priority order of importance. Thus, the priorities (hierarchy) go from the most basic needs to the most complex.

Motivation

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III. As the person's needs are met on one level, the person advances to the next level of needs. S/he will focus on the first level need until it is minimally satisfied before moving to the next level.

IV. If satisfaction is not maintained for a once-satisfied need, it will become a priority need again.

Motivation

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Maslow proposed that human needs form a five-level hierarchy.

Physiological Needs:

These are the basic needs for sustaining human life itself, such as food, water, air, shelter, sleep, etc.

Safety /Security Needs

Safety needs include freedom from fear and anxiety, job security, desires for retirement and insurance programs and so on.

Motivation

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As with physiological needs, management attempts to satisfy safety needs primarily through salary.

Social/ Love/ Affiliation Needs

✍ The need for friendship, companionship, and a place in a group.

✍ These needs are met by frequent interaction with fellow workers and acceptance by others.

Motivation

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Esteem Needs

These needs take two different forms.

First, we have a need for competency, confidence and independence.

Second, We also want the prestige, status, recognition and appreciation that others bestow on us.

Motivation

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✎ not satisfying them produces feelings of inability and inadequacy- feeling of inferiority, weakness and helplessness.

✎ Esteem needs can be met in an organization through recognition by peers and superiors of the person's work, by acquiring organizational titles and by the accomplishment of work projects.

Motivation

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Self-Actualization/Realization Needs

✍ Refers to the need for fulfillment, the desire to become what one is capable of becoming-to maximize one's potential and to accomplish something.

✍ For the athlete, it may be breaking a world's record; for the research scientist, it may be finding a cure for HIV/AIDS

Motivation

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Herzberg's Two Factor Theory

Traditionally, managers viewed job satisfaction and job dissatisfaction as opposite ends.

In contrast, Herzberg's findings suggested the opposite of satisfaction is not dissatisfaction, but rather 'no satisfaction'.

The absence of motivational factors may not result in dissatisfaction, but their presence is likely to motivate employees to excel.

Motivation

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Herzberg labeled the factors that led to job dissatisfaction as *hygienes* and found they are related more to the work setting, or job context, than to job content.

Communication in Organizations

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- ✍ Communication is the process of transmitting information among two or more people.
- ✍ The success of every manager and every organization depends on communication because in any undertaking involving two or more persons, it is essential for the coordination of individual activities.

Communication in Organizations

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- Formal and Informal Communications
- Vertical communication
 - Downward communication
 - Upward communication
- Horizontal communication
- Diagonal communication